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FEDERAL MARITIME COMMISSION

WCG GROUP, LLC, dba Aitoh Co., Claimant, v. CHRIS PHILLIPS, PAUL KNOTT, Respondents.	MEMORANDUM IN RESPONSE TO RESPONDENT PAUL KNOTT’S MOTION TO DISMISS SMALL CLAIMS COMPLAINT Docket No. 1999(F)
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Pursuant to 46 C.F.R. § 502 et. seq., including §§ 502.313, WCG Group, LLC dba Aitoh Co. (hereafter referred as “Aitoh”), hereby files this Memorandum in response to Paul Knott's Motion to Dismiss Aitoh' s Complaint.

I. **INTRODUCTION**

The Claimant, Aitoh, hereby submits its opposition to Respondent's Motion to Dismiss the Complaint. The Complaint meets the standards governing the form of a Small Claim Complaint as required by Title 46 CFR 502.301-502.305. Specifically, this Court has personal jurisdiction over the Respondents, and the Complaint sufficiently alleges causation and harm.

II. **COUNTER ARGUMENTS**

The claim for relief against the Respondent Mr. Paul Knott, is based on the factual allegations explained in the following.

Mr. Chris Phillips (InXpress NY), acting as an Ocean Transportation Intermediary between the carrier, the shipper (Bluecat Paper, an Indian Company) and the consignee (Aitoh), arranged the shipment from India to US via ocean and by means of the vessel ONE APUS 006E/W. The only formal communication relevant to status of the shipment after the accident of the vessel ONE APUS on 30th of November 2020 was by e-mail from G Dinesh g.dinesh@forin-line.com to Bluecat Paper (the Shipper), Beth Wild (the Consignee i.e. Aitoh) and Chris Phillips (InXpress NY). Aitoh didn't receive any other updated directly from the Carrier (who we were not informed who the carrier of record was) but only through the intermediary Mr. Chris Phillis. The "Terms and Conditions" of InXpress in the form "Account Application and Payment Authorization" signed by Aitoh, clearly state that "damages claims are handled directly by the Carrier" (See Exhibit 1 of "Memoranda in Support of Respondent Paul Knott's Motion to Dismiss Claims Compliant"). Mr. Chris Phillips, acting as intermediary, after a relatively short period of time that was needed for the parties involved in the shipment to evaluate the damages and after a much longer period of time during which time Aitoh begged several time for an update on the claim, eventually on April 15th, 2021, initiated the process with the Carrier (Ex-Freight) to file the claim or at least this was what he led us to understand. It was not Aitoh stating that a claim was filed with the Carrier but rather a natural conjecture based on Mr. Chris Phillips assertion *"I talked with our US agent and have the attached claim form. We will claim a total loss, if you can just fill out the product info we will do the rest."* (sic) (See Compl. Ref 02.b). He asserted that he was in contact with the Carrier and, since the cargo was insured, he was filing the claim with them: "we will claim the total loss" (sic).

After that (April 2021), while still in contact with Mr. Chris Phillips working on other shipments, we never got an update on the status of the claim that at that time we assumed was successfully filed. Any communication between Aitoh and Mr Chris Phillips, definitely stopped in January 2022.

Clearly InXpress NY (Mr. Chris Phillips) acted as an Ocean Transportation Intermediary (OTI) despite what InXpress "Terms and Conditions" online might state (See Exhibit 2 of "Memoranda in

Support of Respondent Paul Knott's Motion to Dismiss Claims Compliant"). Our humble understanding about roles and regulations in the field of transportation brings us to consider that InXpress NY acted as legit Ocean Transportation Intermediary/Ocean Freight Forwarder.

- *Arranging cargo movement to an international destination arranges cargo movement to an international destination.*
- *Dispatching shipments from the United States via common carriers and books or otherwise arranges space for those shipments on behalf of shippers.*
- *Preparing and processing the documentation and performing related activities pertaining to those shipments.*

We therefore allege here that Mr. Chris Phillips, acting as an Ocean Transportation Intermediary, concealed facts and information needed for us to take action and directly contact the Carrier.

Aitoh was not even provided with the name of the carriers and of the parties involved in the shipping. Even if we wanted, we couldn't because we were obstructed by Mr. Chris Phillis and any communication with the parties involved was precluded to Aitoh. His behavior was not even surprising; we were used to his absolute absence of transparency. We asked him multiple times and, on several occasions, to provide us with a breakdown of the invoice that included the actual rates, tariff and other costs such as insurance, handling fees, entry fees, etc. It was a legitimate and reasonable request that we needed not only to evaluate the quality and the cost of their services but also for internal purposes and correctly calculate the landing cost. For some reason our request has never been well seen, and we have never got from Mr. Chris Phillips any useful breakdown other than the incomprehensible and often wrong or misleading breakdown in their invoices. (See Compl. Ref 04.b, Ref 04.c).

The point here is that, based on the description on their invoices, there was not enough information to pursue a claim with ExFreight nor with Ocean Network Express as the Respondent Mr Paul Knot complains in his "Memoranda in support of Respondent Paul Knott's Motion to Dismiss Claims Compliant" page 11). In the Invoice dated Oct 26, 2020 from InXpress (well before the accident on Nov 30th 2020), is reported "Ocean Freight Carrier - INXPRES-1600190205-1". Also, the

breakdown of the invoice is simply "16 pieces – Weight 1858.00 lbs and Dimensions 0.00 x 0.00 x 0.00 x 0.00 Ocean Freight Package \$1,526.59" (sic).

In the "Terms and Conditions" (Exhibit 2 of the Memoranda) that we might have implicitly signed (since the "Terms and Conditions" available on internet and signed in 2020 could be different from the current ones, the use of the conditional is a must), it is stated that "**InXpress** means InXpress Global, Ltd., any affiliates of InXpress, and any Master Franchise, Licensee or Franchisee of InXpress." and that "**Affiliates** includes but not limited to InXpress Australia Pty Limited, ... InXpress India Private Limited, ... **InXpress, LLC** ...". Therefore, the name InXpress refers also to InXpress NY (Mr. Chris Phillips) and **InXpress, LLC** (Mr. Paul Knott). It is also without any doubt that an intercompany relation between InXpress NY and InXpress, LLC is in place and that relation is internally regulated. Please note also on the Invoices there is a reference to InXpress, LLC.

Two years after the accident of the vessel ONE APUS, Aitoh started to suppose that Mr. Chris Phillips might have forgotten about claim or that he might have forgotten to submit the claim, or he was still waiting for the "product description" that is simply decorative paper. We opted for the first one, with though the hope of getting any sort of information from Mr. Chris Phillips was close to zero. Therefore, we started to investigate who was the actual Ocean Freight Forwarder (Ex-Freight) and we tried to re-submit the claim with them. Ex-Fright replied almost immediately denying the claim for missing the deadline. Only at this point Aitoh inferred that the original claim had never been submitted and only at this point we escalated the issue to Mr. Paul Knott that we assumed was/is responsible for any negligence/misconduct of his franchisees including InXpress NY.

Mr. Paul Knott, CEO of InXpress, LLC, kindly replied to our inquiry by means of his Assistant assuring that "will have the team dive into this and see what we can uncover" (sic).

Since we first contacted Mr. Paul Knott, it was clear that InXpress, LLC was in some way involved and also willing to work with us and the franchisee InXpress NY (Mr. Chris Phillis) to clarify

the issue. There was no reason to start an internal "investigation" (See Compl. Ref 02.a) if there was not a relation between the two companies and the Respondents Mr. Paul Knot and Mr. Chris Phillis. After 2+ months of internal "investigation" (sic) by a "freight team" (sic), also this attempt to uncover what happened to our claim with insurance company failed and the correspondence between the Office of Paul Knot faded and eventually stopped.

The foregoing has as natural consequence to allege that Mr. Paul Knott and Mr. Chris Phillips together, acting as Ocean Freight Intermediary, are in violation of the Shipping Act under Section 41102(c), 41104(a)(4)(E), 41104(a)(12), and 41103(b)(2).

Thus, we, the Claimant, respectfully request to deny the Respondents' Motion to Dismiss because the claim for relief against the respondent Mr. Knott is in our opinion evident.

PRAYER FOR RELIEF

WHEREFORE, Claimant Aitoh, in consideration of the Respondent's request for formal proceeding, demands relief as follows:

A. For any Respondent's attorney fees and Court costs needed in support of the formal proceeding for adjudication by an Administrative Law Judge under the formal procedures set forth at Subpart T of 46 CFR Part 502.

B. For the loss of the cargo, as deemed by the Cargo Loss Claim and itemized in the attachments of the Small Claim /Ref 05/, /Ref 04/, \$9,781.62 and including the cost of a replacement shipment for the same amount \$9,781.62, to mitigate the professional damage and the loss of income.

CONCLUSION

For the foregoing reasons and all the others reported in Aitoh's Small Claims Complaint, Aitoh respectfully requests to deny Respondent Mr. Paul Knott's motion to dismiss.

DATED this 21st of February 2024

WCG GROUP, LLC DBA AITOH Co.

Carlo Galotto
Managing Member at WCG Group, LLC

CERTIFICATE OF SERVICE

I hereby certify that I have this 21st day of February 2024 served the foregoing document upon the below parties of record as follows:

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